TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

Special Town Hall — May 7, 2026

Topic: Introduction of Troon Management & Interim Executive Leader Claude Thorn

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EXECUTIVE SUMMARY

The May 7 special town hall was the public unveiling of the board's long-awaited management solution: a 12-month engagement with Troon Management as advisory services partner and Claude Thorn as Interim Executive Leader. The meeting was organized, professional, and largely cordial. Troon's credentials are genuine, Claude Thorn made a favorable first impression, and the overall strategic logic of benchmarking the village before conducting a permanent GM search is reasonable.

However, an objective observer identifies six areas of concern: (1) the contract cost remains undisclosed, with a new and self-serving rationale offered for the opacity; (2) the "strictly advisory" characterization in the announcement letter does not match the de facto authority being exercised; (3) a genuine conflict-of-interest concern about reciprocal golf benefits was raised by a community member and not adequately rebutted; (4) the selection criteria for the firm are still not being shared, with yet another shifting rationale for the refusal; (5) the water/sewer overcharging question — now estimated publicly at $4.3 million — received its weakest answer yet; and (6) continued public disparagement of a former POA employee.

WHAT THE BOARD GOT RIGHT

There were several genuine positives from the May 7 meeting:

- Troon's credentials are legitimate and relevant. Managing 125+ POAs and HOAs of comparable complexity, with deep expertise in golf, racket sports, food and beverage, aquatics, and community management, Troon is a credible choice for this engagement. This is not window dressing.
- Claude Thorn made an excellent first impression. His personal style — candid, self-deprecating, warm, and specific — resonated strongly with the room. His observation that Tellico Village's staff is unusually prideful and caring compared to his extensive experience was substantive and credible. His commitment that "my yes will be yes, and my no will be no" is the right framing for an IEL entering a skeptical community.
- Dana Schultz (Troon VP of Operations) is regionally based, personally experienced in POA/club hybrid governance, and brings direct hands-on relevance to this engagement.
- The board conducted a genuine competitive process: seven or eight firms evaluated, five eliminated, top three presented, two finalists brought in person. Lackey's candid disclosure that Thorn was "not at the top of the list prior to the in-person survey" but won the board over in person is actually a reassuring sign of an open process rather than a predetermined outcome.

- The balanced scorecard framework was warmly embraced by Troon and specifically highlighted as a best-practice tool. Their willingness to build on existing work rather than discard it is constructive.
- Thorn's comment about Matt Benoit — that Benoit's absence from the IEL role during the benchmarking process actually protects Benoit's candidacy for the permanent GM role by insulating it from accusations of a rigged process — was perceptive governance reasoning, not flattery.

CONCERN 1: CONTRACT COST STILL UNDISCLOSED — WITH A NEW AND PROBLEMATIC RATIONALE

When online questioner Dan asked for the budget amount allocated to the Troon engagement, Lackey declined to disclose it:

> *"I'm apprehensive to give contractual numbers out because Troon does work for other companies and to disclose that would put their contractual relationships at risk. I can only say that we're about 30% less than what we budgeted for the three positions that we're replacing."*

[Town Hall ~1:11:52]

This is the fourth consecutive month in which the community has asked about the cost of the GM/IEL search process and received a non-answer. Each month the rationale has shifted:

- March 2026: "It's in contract negotiations" (then admitted negotiations had not yet begun).
- April 2026: "Final best offers are being evaluated."
- May 2026: "Disclosing the number would put Troon's contractual relationships at risk."

The May rationale deserves specific scrutiny. Troon is a large national management firm that publicly advertises its services. The idea that disclosing what Tellico Village is paying for a specific engagement — an advisory services arrangement with a specific scope — would damage Troon's relationships with its other clients is implausible. Procurement pricing varies by client size, scope, and negotiation; other Troon clients are not entitled to most-favored-nation pricing based on what Tellico Village pays.

More fundamentally: the Troon contract is funded entirely by Tellico Village property owner assessments. The POA is a 501(c)(4) nonprofit whose financial obligations are ultimately the community's obligation. Troon's preferences about competitive pricing confidentiality do not override property owners' right to know how their assessment dollars are being committed.

The board president's April 30 letter stated that "even when comparing this year's 2026 budget… there will be no incremental cost increases." The town hall elaborated that the engagement costs "30% less than what we budgeted for the three positions." These are relative comparisons without an absolute baseline. Until the community knows what the contract actually costs, these comparisons are unverifiable.

CONCERN 2: "STRICTLY ADVISORY" DOES NOT DESCRIBE WHAT IS ACTUALLY HAPPENING

The April 30 board president's letter stated explicitly: "Troon's role is strictly advisory; the firm will not assume management of our community or its amenities."

This characterization is difficult to reconcile with the actual scope of Claude Thorn's role as described in the same letter and at the town hall. Thorn is described as someone who will:

- "Serve in the role and fulfill the responsibilities of Interim Executive Leader" — language that implies executive authority, not advisory input.
- Lead the day-to-day operations of the village through a transition period (he had already met with all directors by the time of the May 7 meeting, four days into his tenure).
- Coordinate the Troon benchmarking review.
- Implement the balanced scorecard priorities.
- Build trust with staff, property owners, and the board.
- Prepare the GM job description and search process.

A person who fulfills the responsibilities of the general manager, lives in Lenoir City to be near the property, meets one-on-one with all department directors in his first week, and is explicitly described as "leading the Village" is not functioning as an advisor. He is functioning as the de facto general manager. The distinction between "advisory" and "management" matters for several reasons: it affects what bylaws provisions apply to the role, what reporting obligations exist, and how the community should understand the governance structure of its own organization.

This concern echoes the March 2026 report, where board members David and Lackey gave conflicting descriptions of the IEL's authority in the same meeting — one describing a benchmarking coordinator, the other describing someone "leading the Village." The May characterization resolves the ambiguity firmly in the direction of "leading" — which makes the "strictly advisory" language in the announcement letter a misdirection, whether intentional or not.

CONCERN 3: RECIPROCAL GOLF ACCESS RAISES A LEGITIMATE CONFLICT-OF-INTEREST CONCERN THAT WAS NOT ADEQUATELY REBUTTED

Resident Kathy Dooley raised a pointed and well-reasoned concern during the Q&A:

> *"I think that that may well be a conflict of interest… you as a consulting firm right now, opening up something to members of the Village gives you somewhat leverage in being considered for being selected at some point for the final role. I think if you are going to offer that, that should wait until after the board decides who's going to fill that role as general manager."*

[Town Hall ~1:17:58]

Troon's reciprocal golf access program — offering residents tee times at 200 Troon-affiliated courses around the country — is a visible, tangible benefit that residents will enjoy and associate positively with Troon during the 12 months before the permanent GM search concludes. When the board then evaluates whether to hire Troon or a Troon-affiliated individual for the permanent role, a subset of residents will already have a favorable association with the Troon brand through the golf access program.

Seth Churi's response — "we don't benefit in any other way to do it in any other fashion" and "there isn't really any recommendations we could make that we have a conflict of interest that I can think of" — does not engage with Dooley's specific concern, which is about perception and leverage, not about whether Troon is making biased operational recommendations.

Resident Mike Blackwell compounded the concern by noting that all Troon-related benefits — buying power, vendor relationships, reciprocal golf — end when the engagement ends. This creates a structural incentive for residents who value those benefits to support extending or formalizing the Troon relationship, which in turn benefits Troon in any permanent engagement discussion. Dooley's concern is legitimate and deserves a more substantive governance response than it received.

CONCERN 4: SELECTION CRITERIA STILL NOT SHARED — THIRD SHIFTING RATIONALE

Resident Dennis Olsen raised a concern that has now been documented in every observer report since March:

> *"When this consultation and interim general manager was first brought up, there were questions asked about what qualifications and how did you pick the organizations? And I realized that contract negotiations were at that time used to say we can't provide that. The contract negotiations are over now. So perhaps at a board meeting… it might be good to find out what you looked for when you went out and chose and then how did you choose the eight organizations."*
>
> **[Town Hall ~1:30:39]**

Lackey's response introduced yet another rationale for non-disclosure:

> *"What we asked when we put the RFI out for everybody to look at… I'm not sure I can share that with you guys. That's… protected by our job description."*
>
> **[Town Hall ~1:31:41]**

This is the third distinct reason offered for not sharing the selection criteria across the past three months:

- March 2026: "Contract negotiations are ongoing" (simultaneously contradicted by the admission that negotiations had not yet begun).
- April 2026: "Final best offers are being evaluated" (i.e., the process is still live).
- May 2026: "Protected by our job description."

The May rationale is the least coherent of the three. The RFI criteria used to evaluate management firms are not a job description — they are evaluation criteria that reflect the board's priorities for the village. They are a policy document, not a personnel document, and "protected by our job description" is not a recognized category of confidential information under Article 4, Section 6 of the bylaws (which specifies only four categories: contract negotiations and strategy, personnel matters, legal matters, and security matters).

In March, Lackey committed that after the selection was made, the board would share "how and why" it made its selection. The contract has now been signed. That commitment has not been honored.

CONCERN 5: THE WATER/SEWER OVERCHARGING QUESTION NOW HAS A DOLLAR FIGURE — AND THE WEAKEST ANSWER YET

Online questioner Greg Long put a specific number on the table for the first time across any of these meetings:

> *"The previous board collected about $4.3 million for water and sewer charges. What is the board's stance and are you going to refund those to those who paid it?"*

[Town Hall ~1:22:52]

Lackey's response:

> *"Right now, we're focusing on getting through the TBOUR regulations. Once we come under the jurisdiction of TBOUR, we will ask them what our guidance is in that place and we will comply with the law as outlined by our TBOUR commitment."*

[Town Hall ~1:22:59]

This is the fourth public forum in which this question has been raised (January town hall, January board meeting, March meetings, May town hall) and the answer has never advanced beyond "we don't have a plan." The May answer is arguably the weakest yet, for two reasons.

First, the Tennessee Board of Utility Regulation (TBOUR) is a prospective regulatory body. Its jurisdiction, once established, governs future rate-setting and fund management. Asking TBOUR to adjudicate historical billing practices from before its jurisdiction exists would be legally unusual at best; there is no clear mechanism by which TBOUR would direct refunds for pre-regulatory overcharges. Using TBOUR as a deferral vehicle for this question is not a plan — it is a way of making the question sound like it is being handled without actually handling it.

Second, if the figure of $4.3 million is accurate or approximately accurate, this is not a minor accounting question. It is a material obligation potentially owed to thousands of property owners. The new board ran explicitly on correcting the financial practices of prior management. Four public meetings and five months into its tenure, the answer is still effectively "we will ask someone else when the time comes."

An objective observer notes: the proposed legislation is Tennessee Senate Bill 2534 / House Bill 2164, titled: "An ACT to amend Tennessee Code Annotated, Title 7, Chapter 82, Part 7 and Title 65, Chapter 4, Part 1, relative to utilities." The bill would allow the TVPOA water and wastewater system to be treated as a "utility system" under the jurisdiction of the TBOUR, while remaining exempt from regulation by the Tennessee Public Utility Commission (TPUC). Based on available records, it had not yet become law.
https://wapp.capitol.tn.gov/apps/BillInfo/Default?BillNumber=SB2534&ga=114

If signed by Governor Lee, the board will have its regulatory framework. At that point, the deferral rationale disappears entirely. Property owners should hold the board to a concrete plan — with a timeline and accountable party — at the first board meeting after TBOUR jurisdiction is formally established.

CONCERN 6: PUBLIC DISPARAGEMENT OF NAMED FORMER EMPLOYEE — A RECURRING PATTERN

Lackey referred to former CEO Chester Pillsbury dismissively on two occasions during the meeting:

> *"Before him we had Chet and I don't know I don't have any words to say there — we just weren't as successful as we'd hoped to be with Chet."*

[Town Hall ~12:06]

> *"When we hired Chet, and correct me if I'm wrong, but we didn't spend a lot of time researching it."*

[Town Hall ~15:24]

This is the fourth consecutive month in which a board member or the board president has made unspecific public aspersions about named former employees or unspecified "previous management." The December report documented the "mom and pop candy store" characterization and the "I'll just say previous management and leave it there" insinuation. The January report flagged the same dynamic. The March report noted it again.

The rhetorical function of these comments is consistent: they lower the bar for the current board by making the immediate past look incompetent or corrupt, which makes any current action look like improvement. Chester Pillsbury is a named individual who served as CEO of a significant community organization. Making dismissive public comments about his tenure in a recorded meeting — without specific facts, without an opportunity for response, and in a context where the audience cannot evaluate the claim — is unfair to him personally and reflects poorly on the institutional culture the board says it is trying to build.

If the board has specific, documentable concerns about how the prior CEO was selected or how his tenure was managed, it should state them specifically and on the record. Vague public dismissals are neither transparent nor fair.

ADDITIONAL OBSERVATIONS

The "Strictly Advisory" Path to Full Management: A Structural Risk

Resident Jim (last name unclear) asked a perceptive question: if the engagement is wildly successful after 12 months, where does this go? The implicit concern — that a successful Troon engagement creates momentum toward a permanent full-management relationship — is a legitimate structural risk. Resident Mike Blackwell made the point explicitly: buying power efficiencies and vendor relationships end when Troon leaves, which creates a dependency dynamic. The board should be transparent, at the outset, about what the off-ramp looks like and how the village will sustain any improvements independently after the engagement concludes.

The Cooper Community Concern — A Foundational Warning

The first community speaker, Cap Bervvis (nine years on the board and finance committee), raised a concern that transcends any single governance question: do not let the pursuit of "best-in-class amenity-based community" standards erode the original Cooper community model — quality amenities at local public rates, subsidized by assessments rather than country-club membership fees. Troon's core business is managing and elevating amenity-based communities, which often involves increasing fees, adding premium tiers, and expanding revenue streams. None of that is inherently wrong. But the board should explicitly articulate, in

its guidance to Troon, that the Cooper model is not a constraint to be benchmarked away — it is a design principle to be preserved.

Water and Sewer Expertise Gap

When asked about water and sewer expertise, Seth Churi said directly: “I will not stand here and tell you we’re water and sewer experts.” This is honest. But Tellico Village’s most expensive, most legally constrained, and most consequential operational domain is its water and sewer utility — currently operating under a TDEC consent decree with a capital plan in the hundreds of millions of dollars. A management firm brought in to benchmark best practices and review all operational areas has a material knowledge gap in the area where the stakes are highest. The board should ensure this gap is acknowledged in Troon’s assessment methodology and that appropriate specialized expertise is brought in for the water/sewer review specifically.

CROSS-REFERENCE: STATUS OF OPEN ITEMS FROM PRIOR REPORTS

- GM/IEL selection: RESOLVED. Troon retained, Claude Thorn as IEL, started May 4. Contract is 12 months.
- Contract cost: STILL UNDISCLOSED. Fourth month of non-disclosure; new rationale offered (competitive pricing confidentiality) but not legally substantiated.
- Selection criteria shared: STILL NOT SHARED. Third shifting rationale offered. Board’s March commitment to share “how and why” after selection not honored.
- Past water/sewer overcharging ($4.3M): STILL NO PLAN. Now in fifth month without a concrete remediation framework, timeline, or accountable party.
- TBOUR private act: PASSED HOUSE. Awaiting Governor Lee’s signature and orientation for the board.
- Kahite lift station engineering: STILL IN LIMBO per April report. Not addressed at May 7 town hall.
- $2M federal grant uninvoiced: Not addressed at May 7 town hall. Follow-up expected at May 20 board meeting.
- Reserve study errors: Not addressed at May 7 town hall. Follow-up expected at May 20 board meeting.

CONCLUSION

The May 7 special town hall accomplished its stated purpose: introducing Claude Thorn and Troon to the community in an accessible, professional setting. Thorn is a credible IEL and Troon is a legitimate firm. The community’s reception was generally warm, and the tone was a marked improvement from December’s chaos.

But a community that only measures meetings by their atmosphere will miss what the documents reveal. The contract cost remains hidden behind a new and implausible rationale. The “strictly advisory” framing in the announcement letter misrepresents the actual scope of authority being exercised. The selection criteria have still not been shared despite the March commitment to do so after signing. The $4.3 million water/sewer overcharging question received its weakest answer yet.

None of this makes Troon the wrong choice. But governance accountability is not suspended because a decision turns out well. The community deserves a disclosed contract cost and a concrete plan for the water/sewer remediation question — regardless of how well the Troon engagement goes.

Watch for at the May 20 Board Meeting:

- Any update on the Kahite lift station engineering contract impasse.
- Any update on the $2 million federal grant drawdown status.
- Any formal communication on reserve study errors and their impact on capital planning.
- Whether the board discloses the Troon contract cost or formalizes a policy on contract transparency.
- Any concrete plan — timeline, accountable party — for addressing the $4.3 million water/sewer overcharging question.

This report covers the May 7, 2026 special town hall only. A separate report will follow the May 20, 2026 regular board meeting.